



United Energy Distribution Tariff Report 2007

1 January 2007

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Appendix 1 - Proposed 2007 DUoS and TUoS Tariff Rates

Appendix 2 – Glossary of Terms

1 Regulatory Arrangements

Historically, the Australian electricity system has been run on a State-by-State basis with government owned enterprises operating at all levels. In Victoria, the State Electricity Commission of Victoria (SECV) was responsible for most generation activities, operation of the high voltage transmission network and most of the distribution network.

In August 1993, the State Government of Victoria commenced a review of the structure and operations of its electricity industry, which led to a phased disaggregation of the Victorian electricity industry. From January 1994 to January 1995, the industry participants were disaggregated and or merged, creating a new competitive structure. The entities created through the disaggregation include seven generation companies, a transmission entity, five retail/distribution companies and a wholesale market operator. Since then, the Government has privatized the five distribution companies (including United Energy Distribution (UED)), six generation companies and the transmission company.

Under the competitive structure, the natural monopoly functions of transmitting and distributing electricity were separated from the competitive functions of generating and retailing electricity. Generators and retailers trade electricity in a competitive wholesale market, while transmitters and distributors charge regulated tariffs for transporting the electricity to customers. All distribution companies are obliged to provide access to their distribution network to licensed electricity retailers, so that these retailers may supply electricity to contestable customers connected to the distributor's network.

Under the established regulatory environment, the Victorian electricity industry is regulated by the Essential Services Commission (the Commission), an independent body which carries out its regulatory functions in accordance with objectives set out in relevant legislation. The Commission's objectives include promoting competition in the generation, supply and sale of electricity in Victoria and facilitating the maintenance of a financially viable electricity industry in Victoria. The Commission's functions include price regulation and issuing licences for the generation, distribution and retail sale of electricity.

Distribution Use of System (DUoS) tariffs are designed to cover the cost of distribution of electricity to customers. However distributors bill retailers the Network Use of System (NUoS) charges.

NUoS tariff charges are comprised of two constituent parts, namely; Transmission Use of System (TUoS) tariffs and DUoS tariffs. The structures of the TUoS and DUoS tariffs are identical and the NUoS rates are the simple addition of DUoS tariffs and TUoS tariffs.

NUoS tariffs vary in structure depending on the voltage and size of the connection.

For practical reasons, UED's TUoS tariff structure does not reflect the structure of the grid fees paid by UED to Victorian Energy Networks Corporation (VENcorp) and SP Ausnet. The TUoS tariff structure has instead been aligned with the DUoS tariff. The TUoS structure, as a result, allows the NUoS tariff to be determined by simply adding DUoS rates and TUoS rates.

In allocating transmission costs, UED has restricted the application of TUoS rates to those components of the NUoS rates which best reflect the underlying Grid Fees (i.e. Peak Energy, Summer Demand Incentive Charge, and Rolling Demand). Therefore, recovery of transmission related charges is mainly through peak energy, Summer Demand Incentive Charge (SDIC), and rolling demand charges, with off-peak energy and fixed charges not attracting TUoS.

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Transmission costs to UED have been the subject of significant variability and increase, with UED being limited in its ability to recover “annual adjustment” and Land Tax related increases, due to Commission imposed constraints on TUoS increases. Continued treatment of transmission costs in this manner exposes UED to significant regulatory risk in terms of cash flow, and distorts TUoS passthrough pricing signals to the market.

2 Purpose

This report is intended to give guidance to stakeholders, setting out the issues, principles and rationale used by UED in setting its NUoS tariffs for 2007. In so doing this report will meet the requirements set down in the Electricity Distribution Price review (EDPR) 2006-10 and incremental requirements and interpretations as laid out in the Comparative Report on the Distributors' Reporting Requirements (September 2006). This report also serves to provide an update to the information published in the 2006 Tariff Strategy Report, accounting for tariff design and pricing drivers that were not foreseen or known at the time publishing the Tariff Strategy report, or have materialised and require a response.

Consultation with stakeholders was undertaken in September 2006, covering issues addressed in this report and will continue into the future. UED welcomes further comments from interested parties for consideration in the continual evolution of UED's tariff and price setting.

3 Tariff Setting Principles (Basis for Tariff Policies)

The design of the tariffs sought to incorporate the following policy principles:

- **Regulatory compliance.** Compliance with the regulatory requirements of the Essential Services Commission EDPR 2006-10. A key requirement by the Commission is that the network prices faced by a group of customers must lie between the avoidable cost of servicing that group (lower bound) and the stand-alone costs of servicing that class (upper bound). These regulatory requirements limit the extent to which tariffs can change, particularly any average price increases.
- **Customer choice.** To provide customers with meaningful choices of tariff options based upon behavioural response and shared benefits.
- **Market equity.** Having regard to previous price levels and hence relative changes. Further, pricing should apply to all retailers in a neutral manner and not impede the viability of full retail contestability.
- **Cost reflectivity.** Seek appropriate mechanisms for achieving inter-customer group equity in the allocation of distribution cost-recovery requirements. Pricing to recognise cost-reflectivity within the constraints imposed by regulatory requirements (i.e. that tariffs fall within economic upper and lower bounds) and ensuring efficient investment signalling and network usage.
- **Behavioural elasticity.** Seek to utilise rational consumer behavioural elasticity, both in terms of usage responses to pricing signals and tariff switching.
- **Practicality.** Seek to simplify mechanisms balancing against economic functionality, while having regard to minimising transaction and pricing administration cost.
- **Environmental.** Within the limitations of the scope and context of electricity distribution pricing, have regard to opportunities to improve utilisation efficiency and accommodate emerging energy technologies, particularly in respect of greenhouse gas emission reduction.

Understandably, not all the principles can be satisfied to their full extent, while fully complying with the Commission's requirements, particularly as some pull in opposing directions. UED has sought to satisfy these principles to the greatest extent possible whilst maintaining the given regulatory constraints.

Annual tariff and price changes are governed by the requirements laid out in the 2006-10 EDPR, Codes, etc. The Annual Tariff Report details how the allowed increase in tariff basket prices have been applied, and also how the rebalancing constraints have been used. UED intends to gain the full revenue allowable by the tariff basket price controls to recover the efficient costs of operating the network business, including a commercial return on invested capital for "business as usual" service levels. UED also intends to use inter-tariff rebalancing where necessary to redress imbalances and cross subsidies. Intra-tariff rebalancing has been used in the 2007 prices to lend greater emphasis to price signals as required by the tariff setting principles.

4 Changes in Tariffs, Tariff Structure and New Tariffs

4.1 Network Use of System Tariffs:

The 2007 NUoS tariffs reflect the underlying structure of both the TUoS and DUoS charges. That is, the structures of the TUoS and DUoS tariffs are identical and the NUoS rates are the simple addition of DUoS and TUoS.

A fundamental restructuring of UED's tariffs was undertaken with the 2001 tariff set. The 2002 tariff submission contained some minor restructuring including the replacement of the interruptible tariff introduced in 2001 and two new tariffs for small customers. The 2007 tariff set, as per the 2003, 2004, 2005 and 2006 tariff sets contain no new tariffs.

In 2001 and 2002, UED introduced a number of optional Time of Use (ToU) tariffs for customers for use in conjunction with interval (or smart) meters. At the same time, several tariffs incorporating the historical 11pm to 7am Off Peak time zone, relying on obsolete metering technology, were closed to new connections. The following tariffs are closed to new connections and only available to installations currently taking supply under these tariffs:

1. Low voltage kW time of use (LVkWTOU)
2. Low voltage large 1 rate (LVL1R)
3. Low voltage large 2 rate (LVL2R)
4. Low voltage medium 2 rate 5 day (LVM25D)
5. Low voltage medium 2 rate 7 day (LVM27D)
6. Low voltage small 2 rate (LVS2R)
7. Subtransmission KVA time of use (ST22kVATOU)

The tariffs that are open to new connections are as follows:

1. Dedicated circuit (Ded)
2. High voltage KVA time of use (HVkVATOU)
3. High voltage KVA time of use – HOT (HVkVATOUH)
4. Low voltage large KVA time of use (LVkVATOU)
4. Low voltage large KVA time of use – HOT (LVkVATOUH)
6. Low voltage kW time of use – HOT (LVkWTOUH)
7. Low voltage medium 1 rate (LVM1R)
8. Reverse cycle airconditioning time of use (RCACKWTOU)
9. Low voltage small 1 rate (LVS1R)
10. Winter economy tariff (WET)
11. Unmetered supplies (UnMet)

Further information on each of the above tariffs and tariff eligibility is available on UED's website: www.ue.com.au.

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UED believes it is important to provide customers with reasonable information on the objectives and rationale for tariff design and annual changes in tariffs. The Commission stipulates that this information must be provided in the form of a Tariff Strategy Report and updated by Annual Tariff Reports prior to any tariff changes.

In July 2004, the Commission announced its final decision to mandate rollout of interval meters to all Victorian electricity customers from 2006 onwards. Interval meters provide the opportunity to measure the real time consumption of electricity in predetermined time periods and to use the information obtained to set end-use pricing to mirror wholesale market price movements, and thus more accurately reflect the real cost of supply. To date interval metering has mainly been used for customers consuming greater than 160 MWh per year and for those customers who have chosen to enter the contestable retail market with a contestable meter provider.

The ToU tariff initiatives introduced in 2001 were expected to have a greater influence on customer behaviour as interval meters were rolled out. The transition to these ToU tariffs would promote energy efficiency; conservation and demand management as customers will be motivated to monitor their demand profiles and potentially change their consumption profile e.g. Peak energy use to off peak energy use.

Previously, delays with the Commission's formal position paper on the roll out of interval metering meant that UED's uptake of ToU tariffs was substantially lower than forecast at the time of introduction of the 2001 tariffs. A further related issue was the reluctance of Retailers to repackage UED's ToU tariffs to smaller customers. To date, no Retailer has introduced a customer tariff in line with the low volume ToU tariff.

However, in the 2006–10 Final Distribution Electricity Price Decision (EDPD), the Commission did not allow for any tariff migration from existing basic LVS1R and LVM1R tariffs to the ToU tariffs and associated changes in peak and off peak consumption splits. UED was therefore left with significant revenue at risk if interval metered customers move to the (cheaper) LVkWToU tariff.

To reduce this risk, UED closed the LVkWTOU tariff in May 2006. This was as discussed in the 2006 Tariff Strategy Report and the 2006 Annual Tariff Report. This is not the preferred approach as it reduces the number of more modern Time-of-Use tariffs available to customers. This also reduces the options and price signals for new customers to install energy using equipment which has its load controlled, such as electric hot water systems, night store heaters, and slab heating.

To reinstate pricing incentives to new customers to install equipment, which will modify their consumption so that there is an overall improvement in UED's asset utilisation and system load factor, the dedicated tariff will be reopened to new customers for 2007.

Accordingly, new customers will be able to take the default S1 and M1 tariffs with a Dedicated circuit tariff which provides for all volume consumed between 11pm and 7am to be charged a lower unit rate. It is expected that the dedicated tariff will be replaced in 2008 with a new tariff aimed at the rollout of Advance Interval Meter Roll-out (AIMRO) meters, which will also provide pricing incentives for customers to consume energy at times of least impact to the network. The design of this new tariff will be a feature of consultation in 2007 and the next tariff report, should AIMRO proceed.

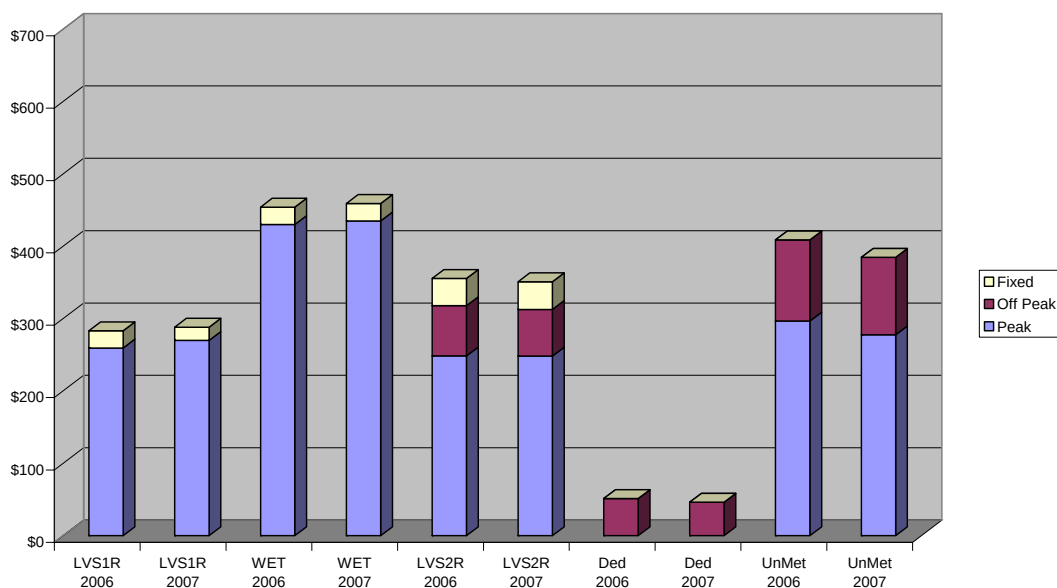
4.1.1 Average Charge per customer

This section presents the average yearly charge that UED's customers received in 2006 and estimated to receive in 2007. The following graphs are set out in the four main customer categories; small, medium, large and HV.

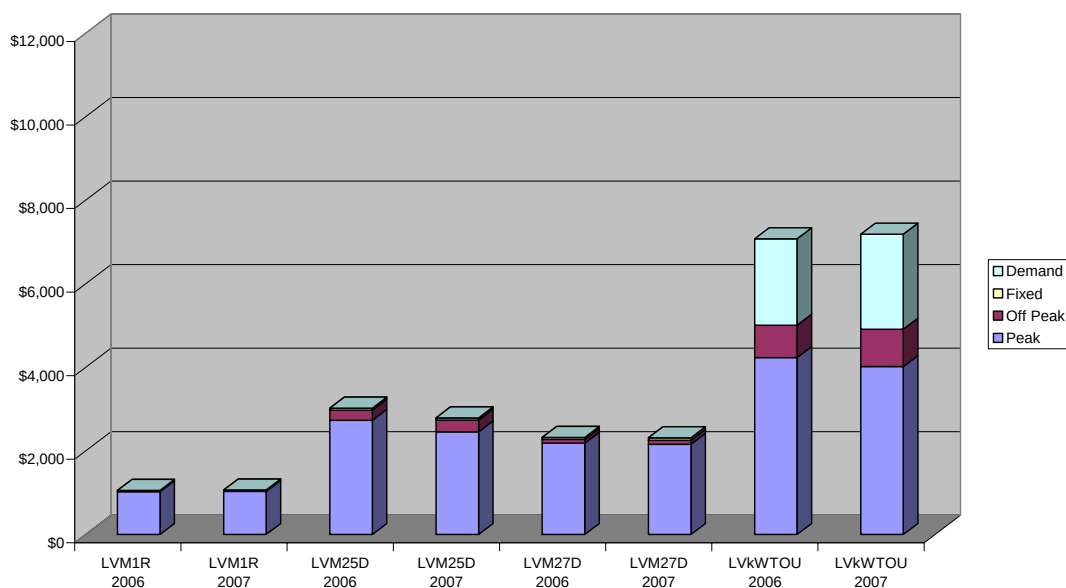
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Average Distribution and Transmission charge per customer - Small

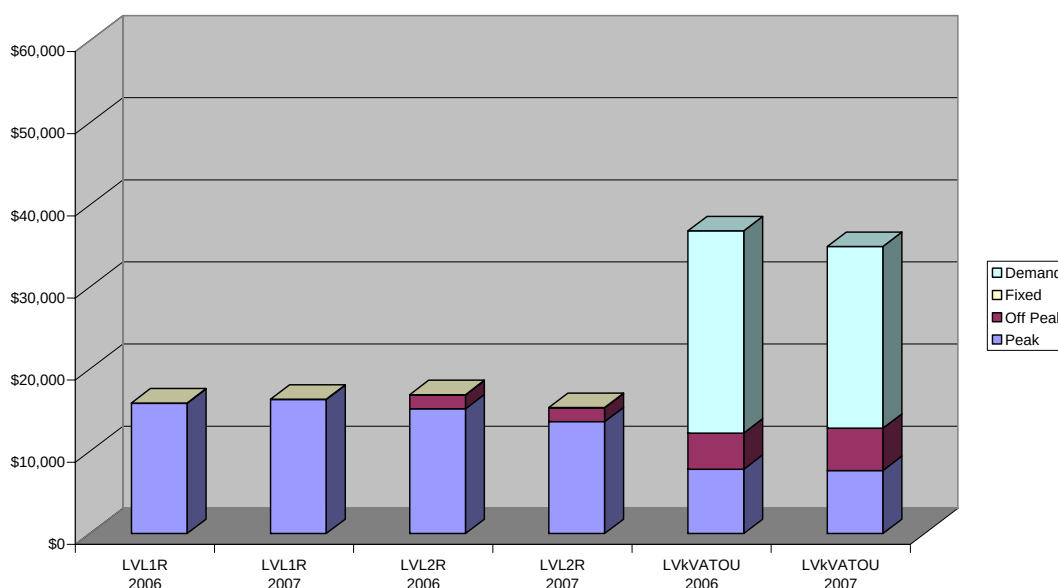


Average Distribution and Transmission charge per customer - Medium

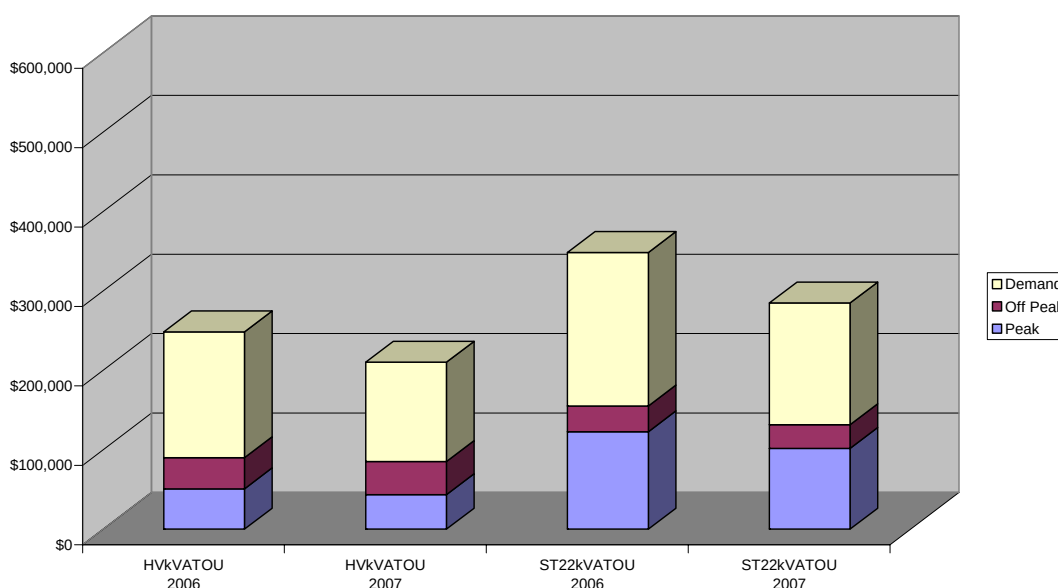


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Average Distribution and Transmission charge per customer - Large



Average Distribution and Transmission charge per customer - HV



4.2 Proposed Prescribed Services Tariffs

In the last Regulatory Period (2001-05), Meter Data Service (MDS) charges were collected via Excluded Service charges and Meter Provision (MP) charges were collected via NUoS charges. In this Regulatory Period (2006-10), the Commission has mandated that both MDS and MP charges are to be collected via a new mechanism which is neither an Excluded Service nor a NUoS charge. This new mechanism is to be known as the Prescribed Metering Services charge and has its own Price Control formulae.

Prescribed Services 2007 prices have been increased in accordance with the price control formulae by 24.7%. There has been no rebalancing undertaken, despite this being allowed

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in the price controls. It is expected that this set of prices will be reviewed by the industry in 2007 in association with a decision on whether AIMRO will proceed, as the above pricing is for AIMRO's predecessor Interval Meter Roll-out (IMRO). As UED has received a non-action letter from the Commission on meter rollout associated with IMRO, there is every likelihood that this set of tariffs and prices will change in 2008. Until the full nature of AIMRO is prescribed by the Commission, UED is unable to provide any indication on the extent and nature of price changes to be expected.

The Proposed Prescribed Metering Services and charges for 2007 are:

**Table 4.1 – 2007 Proposed Prescribed Metering Services Charges
(GST Exclusive)**

Metering Data Services	\$/meter/annum
Monthly read meter	\$42.608
Quarterly read meter	\$12.940
Metering Data Services (Unmetered Supplies)	\$/light/annum
Per light	\$1.028
Meter Provision Charges	\$/meter/annum
Single phase non off peak meter (single element)	\$1.552
Single phase off peak meter (two element)	\$4.089
Three phase direct connected meter	\$10.963
Three phase current transformer connected meter	\$17.245

4.3 Excluded Services

No changes to excluded services are proposed at this stage. A list of these services and charges can be found on the UED web site: www.ue.com.au.

4.4 Public Lighting Excluded Service Charges

In accordance with the 2004 Review of Public Lighting Excluded Service Charges Final Decision of August 2004, UED has added revised Public Lighting Excluded Service Charges in the 2007 tariff approvals for application on 1 January 2007. The charges have been submitted in accordance with Electricity Industry Guideline No. 14 (April 2004) and the EDPR 2006-10 Price Determination (October 2005). These documents require new prices to be calculated as per the methodology developed in the 2004 review, and analysis and information to be provided in association with the submission of new prices.

New Public Lighting charges have been submitted for approval for the following light types:

Table 4.2 - 2007 Proposed Public Lighting Charges (GST Exclusive)

Light Type	Excluded Service Charge \$ p.a. (Exclude G.S.T)	Excluded Service Charge \$ p.a. (Inc G.S.T)
Fluorescent 2x20 watt	\$38.11	\$41.92
Fluorescent 3x20 watt	\$38.11	\$41.92
Mercury Vapour 50 watt	\$43.72	\$48.09
Mercury Vapour 80 watt *	\$29.54	\$32.49
Mercury Vapour 125 watt	\$43.72	\$48.09
Mercury Vapour 250 watt	\$45.71	\$50.28
Mercury Vapour 400 watt	\$63.29	\$69.62
Mercury Vapour 700 watt	\$63.29	\$69.62
Sodium High Pressure 70 watt	\$64.69	\$71.16
Sodium High Pressure 100 watt	\$55.14	\$60.65
Sodium High Pressure 150 watt	\$50.13	\$55.14
Sodium High Pressure 250 watt	\$50.23	\$55.25
Sodium High Pressure 400 watt	\$63.29	\$69.62
Metal Halide 70 watt	\$67.68	\$74.45
Metal Halide 100 watt	\$67.68	\$74.45
Metal Halide 150 watt	\$67.68	\$74.45
Metal Halide 250 watt	\$67.81	\$74.59
Metal Halide 400 watt	\$67.81	\$74.59
* Where a public lighting customer requires a lighting pole to be powder coated, the incremental costs of the powder coating will be negotiated with the customer.		

The proposed adjustments to the 2007 Public Lighting service charges are designed to reflect a change to the Regulatory Weighted Average Cost of Capital (WACC), and an increase in the asset base over time. The new prices have been constructed using the approach adopted in the 2004 review, but does not look to change any Operating Maintenance and Replacement factors other than WACC and asset base.

Two new public lighting categories have been introduced in association with customer requests. These categories are:

- Metal Halide 70 watt
- Metal Halide 150 watt

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Similar to the tariff setting methodology for the other Metal Halides, the tariff for the 70W and 150W units was set at the same rate as the Sodium High Pressure 150 watt multiplied by 1.35.

4.4.1 Public Lighting DUOS Charges

DUOS charges for public lighting have been, and continue to be set in the "Unmetered supplies" tariff. This is consistent with the 2004 public lighting review and the EDPR 2006-10 where submissions were predicated on there being no ongoing capital allowance for public lighting as ongoing capital allowances are covered by Excluded Service Charges, as detailed above. The rates proposed for 2007 for "Unmetered supplies" have reduced by 4%.

4.5 Tariff Reassignments

UED does not intend to carry out tariff reassignments in 2007. Any tariff reassignments occurring during 2007 will be as a result of customer requests.

Retailers initiated 89 customer tariff reassignments inclusive of the period 1 January 2006 to 16 October 2006. As the tariff structures are not changing in 2007, it is expected that the number of reassignments in 2007 will be similar to 2006.

4.5.1 Tariff Assignment for New Connections

UED assigns new customers (new connections) coming on line in UED's territory for the first time the appropriate default network tariff. Determination of the appropriate network tariff is based on the customer's connection, expected annual energy consumption and/or maximum demand and type of metering. Table 4.3 outlines the categories based upon voltage, energy usage, and demand.

Table 4.3 – Network Tariff Categories

Category	Maximum Demand (kVA)	Annual Energy Consumption (MWh)
Small	< 20 and	< 70
Medium	20 to 150 and/or	70 to 400
Large	> 150 or	> 400

Table 4.4 below provides details of:

- Network tariff following contestability. These are the default tariffs that applied to former franchise retail tariffs following contestability. If required and with the necessary change of metering they can be changed to a corresponding 2007 eligible network tariff
- 2007 Eligible Network Tariffs (assuming the appropriate meter is installed) For new connections default tariffs apply. Upon submitting an application alternative tariffs listed are available provided an appropriate meter is installed. This applies to both new connections and existing customers

Note: Customers can apply to have their network tariff changed if they have had either a load characteristic change or a connection characteristic change. Determination of the appropriate network tariff for reassignment is based on the customer's expected annual energy consumption and/or maximum demand and type of metering. Customers may have to change their metering arrangement to be eligible for the revised tariff. To avoid gaming of

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tariffs, customers who choose a ToU tariff cannot move to another tariff for a minimum of 12 months.

With the re-introduction of the Dedicated tariff, new customers will be able to take the default LVS1R and LVM1R tariffs with a Dedicated circuit tariff which provides for all volume consumed between 11pm and 7am to be charged a lower unit rate.

**Table 4.4 – Network Tariffs following Contestability and 2007
Eligible Network Tariffs**

Former Franchise Retail Tariff	Network Tariff Following Contestability	Small/ Medium/ Large (based on annual energy and demand)	2007 Eligible Network Tariffs (appropriate metering required)
GD, GR	LVS1R LVkWTOU*	Small	LVS1R*** (Residential Customers Only) WET RCACLVkWTOU HOT LVkWTOU
		Medium	LVM1R*** (Business Customers Only) HOT LVkWTOU
GH, GL	LVS2R* LVkWTOU*	Small	LVS1R*** (Residential Customers Only) WET RCACLVkWTOU HOT LVkWTOU
		Medium	LVM1R*** (Business Customers Only) HOT LVkWTOU
E, G, N, B	LVM1R LVkWTOU*	Medium	LVM1R*** (Business Customers Only) HOT LVkWTOU
		Large	LVkVATOU HOT LVkVATOU
D	LVM2R5D* LVkWTOU*	Medium	LVM1R*** (Business Customers Only) HOT LVkWTOU
		Large	LVkVATOU HOT LVkVATOU
E1, B1, N1	LVM2R7D* LVkWTOU*	Medium	LVM1R*** (Business Customers Only) HOT LVkWTOU
		Large	LVkVATOU HOT LVkVATOU
L	LVL2R* LVkWTOU*	Medium	LVM1R*** (Business Customers Only) HOT LVkWTOU
		Large	LVkVATOU HOT LVkVATOU
V	LVL1R* LVkVATOU**	Medium	LVM1R*** (Business Customers Only) HOT LVkWTOU
		Large	LVkVATOU HOT LVkVATOU

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* Indicates that these tariffs are only available to installations currently taking supply under this tariff. These tariffs are not available to new connections.

** Indicates that on becoming contestable these tariffs were available if an interval meter was installed.

*** Indicates the default network tariff for new connections.

4.6 Parent Tariffs

All of UED's tariffs can be provided on a standalone basis, and thus hierarchies of tariffs do not exist. UED defines Parent Tariffs as a predecessor to a current tariff - especially where the predecessor has been closed. As UED have not introduced any new tariffs in 2006 or 2007, there are no new parent tariffs.

4.7 Future Expenditure

Prices within the tariff structure are set in accordance with the Commission's 2006-10 EDPD which, from a regulatory perspective, accounts for the trade-off between future investment requirements and price/service levels. Also, UED's future expenditure as a result of network constraints can be found in UED's 2004 Transmission Connection Planning and Distribution System Planning reports on the UED website: www.ue.com.au.

Planning reports:

One of the aims of the Planning Report is to provide information to would-be providers of non-network solutions (such as embedded generation or demand management) on emerging network constraints. UED's aim is to deliver '*least cost technically acceptable*' solutions to meeting demand, to the ultimate economic benefit of electricity consumers. To this end, proponents of non-network solutions to the emerging network constraints identified are invited to contact UED and lodge expressions of interest.

Embedded generation:

Sometimes a non-network solution to a constraint may take the form of Embedded generation. UED hosts embedded generation as outlined in the Commission's *Electricity Industry guideline No.15 titled "Connection of Embedded Generation" dated August 2004*. That document also provides guidelines for the payment of network support fees to the generator where network savings result. The objective of the guideline is to provide clarity and transparency about arrangements for connecting embedded generating units to the distribution system, in particular in respect of:

- the way in which Distribution Network Service Providers (DNSPs) negotiate connection agreements with embedded generators;
- the charges under, and other terms and conditions of, connection agreements including principles DNSPs must observe in setting those charges and other terms and conditions;
- the payment to embedded generators of a share of a DNSPs avoided distribution system costs; and
- the payment to embedded generators of DNSPs avoided customer TUoS usage charges.

Demand management:

Another way of managing a network's ability to meet peak demand is to encourage customers to reduce load at times of the day and year when the demand is nearing the

network's capacity to supply. Demand management initiatives come in a variety of forms including:

- 'behavioural' - Customers switching off discretionary loads when they know the network is approaching peak;
- 'controlled' - Customer making parts of their load available for the network Distribution operator to control remotely; and
- 'automated' - Installation of equipment that automatically limits peak demand.

Tariff pricing can be used to influence a customer's decision about whether or not to reduce load. If a short-term price signal is available then the customer may choose to reduce load during that price time zone. Alternatively, if some investment is required for additional equipment, then a customer could take into account the longer-term price signals.

At present, unfortunately technology often limits the possibilities. This may happen because:

- the customer does not know the network is congested (communications);
- it can be difficult to be sure that the peak demand has been reliably reduced every time it is needed and therefore a benefit has been produced (interval metering may assist); and
- few automatic devices are currently available.

In order for a real benefit to be produced, the reduction in peak must be reliable, so the network can count on the reduction and therefore perhaps deferring expenditure on additional capacity. If load is not curtailed, the constraint will still exist and UED can suffer further penalties in form of the Service Reliability Factor ("S" Factor).

UED has over the years created some innovative tariffs aimed at encouraging a demand-side response. Experience has shown however that a meaningful and material response is difficult to obtain. Essentially, most customers appear to value using their electricity more than the rewards available from curtailing or delaying consumption. It is also clear that (using simple metering) it is difficult to accurately measure and therefore reward peak reductions. Simple meters measure energy (kWh), but network peak costs are due to demand at a peak time (kW or kVA). UED remains hopeful however that developments such as the imminent widespread deployment of interval meters may enable the implementation of further, more effective pricing signals in future.

4.8 Contract demand charge resets

A customer can request a reduction in the maximum demand they get charged for if they are not currently signed onto a Supply Contract with a fixed Rolling Peak Minimum Demand charge.

In the past, demand was calculated on an on-going basis i.e. as demand increased, so did the maximum demand charged. Even if that customer dropped the level of demand after the highest period, they were still charged for the highest level prior to the drop, unless demand dropped for at least 12 months and the customer made an application for a reduction.

Presently, UED has devised a fairer system where the base demand charge is calculated over a rolling 12-month period for Peak times only. From one month to the next, demand is re-calculated on the previous 12-month Peak period to the end of each bill. Therefore, an abnormal peak will be discarded out of the calculation after a 12-month period.

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However, if a particular customer has changed their electricity usage over a shorter term (e.g. 3 - 6 months), then they are eligible (on their request) to accelerate their reduction in demand before the 12 month period is up.

If a customer wants to reduce their chargeable demand, they must complete a "Demand Reset Form". This should be faxed or emailed to: UED Billing - 03 9256 5590.

From 1 January 2006 to 16 October 2006, 29 customers had their demand reset.

4.9 Apportionment to account for CPI estimates

In the Final Determination the ESC has allowed distributors to use actual CPI for the tariff setting process and therefore there is no requirement to account for the difference between actual and estimated CPI.

4.10 Comparisons with Tariff Strategy Report

UED has not introduced new tariff structures in 2007 and the rebalancing of tariffs and new or redundant tariffs has been discussed within this report. The ESC has requested that UED re-submit its Tariff Strategy Report 2006 – 2010 to clarify information in a more useful manner for customers and retailers. However, the UED 2007 proposed distribution tariffs are consistent with pricing strategies contained within the current Tariff Strategy Report 2006 – 2010.

4.11 Consultation and Stakeholder Management

UED continues to encourage stakeholders to discuss ideas on how mutual needs may be better met. Many of the 2007 changes will be familiar to those stakeholders that participated in sessions hosted by UED during 2006. It is hoped that this liaison can be further enhanced in coming years.

Consultation on UED related tariff issues is undertaken in conjunction with the Stakeholder Relationship Managers in accordance with the Stakeholder Business Plan.

Stakeholders are identified by UED, and are assigned to stakeholder groupings including customers, associations, retailers, affiliates, community, etc.

Over and above stakeholders identified by UED, stakeholders who wish to be included in community consultation are able to identify themselves to UED through the UED Service Desk on 1300 131 689, or emailing via talk-to@ue.com.au. The ability to communicate with UED via these channels is identified to potential participants on the UED website.

Communication with stakeholders (see attendee organisation list below) on 2007 tariffs was undertaken via a mix of workshops and individual stakeholder meetings. The main stakeholder presentation which laid out the proposals for 2007 price and tariff changes was undertaken in late September 2007 to allow sufficient time for feedback to be incorporated into the final tariff submission. This presentation alone was attended by over 30 people from 13 organisations.

Table 4.5 – 2007 Proposed Tariff Consultation - Attendee Organisation List

Organization	Invited	Attended
TXU Retail	Yes	Yes
AGL Retail	Yes	Yes
Origin Energy Retail	Yes	Yes
TRUenergy Retail	Yes	Yes
Energy User Group (EUAA)	Yes	Yes
Victoria Electricity Retail	Yes	Yes
Red Energy Retail	Yes	Yes
Powerdirect Retail	Yes	Yes
Aurora Energy Retail	Yes	Yes
Momentum Energy Retail	Yes	Yes
Our Neighbourhood Energy Retail	Yes	Yes
Country Energy Retail	Yes	Yes
Energex Retail	Yes	Yes
Integral Energy Retail	Yes	No
Jackgreen Retail	Yes	No
Ergon Energy Retail	Yes	No
EA-IPR Partnership Retail	Yes	No

Stakeholders have also had access to tariff strategy reports such as the 2006 tariff strategy report through the UED and Commission's websites. Issues raised by stakeholders are formally registered on an issues log and managed to resolution via an associated process.

As tariff strategies are refined, appropriate stakeholder groups and individual stakeholders will be approached by the Stakeholder Relationship Managers to continue to provide information and manage issues raised. The Pricing Issues Working Group (PICG) and the tariff reassignment working group will be an integral part of UED's consultation process, provided that such groups meet regularly and remain functional.

4.12 Details of Quantities and Customer Numbers Associated with Tariffs (Historical and Forecast).

**Table 4.6 – 2005 Actual, 2006 Estimate and 2007
Forecast Customer Numbers and Quantities**

Tariff	2005 Actual		2006 Estimate		2007 Forecast	
	Customers	MWhs	Customers	MWhs	Customers	Mwhs
Low voltage small 1 rate	539,278	2,453,573,601	544,180	2,536,437,576	550,702	2,593,204,414
Winter economy tariff	172	1,618,885	172	1,648,671	174	1,696,714
Reverse cycle airconditioning time of use	0	0	0	0	0	0
Low voltage small 2 rate	5,203	40,503,506	5,145	39,902,791	5,117	40,335,073
Dedicated circuit	78,218	292,077,976	77,675	283,818,081	75,850	274,542,567
Low voltage medium 1 rate	28,550	369,747,751	29,113	392,067,051	30,053	405,081,175
Low voltage medium 2 rate 5 day	17,026	793,847,295	16,840	780,093,312	16,517	778,284,188
Low voltage medium 2 rate 7 day	7,062	231,041,170	7,487	219,912,142	6,785	218,564,277
Unmetered supplies	8,452	101,222,043	8,534	97,066,503	8,534	96,772,723
Low voltage large 1 rate	13	4,015,257	14	3,611,696	12	3,660,438
Low voltage large 2 rate	99	31,929,590	99	29,291,674	105	31,533,883
Low voltage KW time of use	648	96,893,959	905	125,092,211	905	123,761,950
Low voltage KW time of use - HOT	0	0	0	0	0	0
Low voltage large KVA time of use	1,789	2,190,699,386	1,962	2,197,782,001	2,066	2,318,831,058
Low voltage large KVA time of use - HOT	0	0	0	0	0	0
High voltage KVA time of use	78	965,494,601	80	980,561,355	87	1,001,679,723

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Tariff	2005 Actual		2006 Estimate		2007 Forecast	
	Customers	MWhs	Customers	MWhs	Customers	Mwhs
High voltage KVA time of use - HOT	0	0	0	0	0	0
Subtransmission KVA time of use	1	33,415,834	1	34,382,032	1	34,398,311
Total	686,587	7,606,080,854	692,206	7,721,667,097	696,909	7,922,346,493

5 Proposed Distribution Use of System (DUoS) Tariffs

The regulated price control formula allowed UED an average increase in the price control for distribution tariffs in 2007 of 1.2% from the 2006 tariffs. The major components of this increase were the CPI of +3.9% and L-factor of +0.4%, offset by the X-factor of -2.5% and the S-factor of -0.5%. The L-factor relates to Licence Fees paid by UED in the past financial year. The X-factor is underlying price path for distribution tariffs over the regulatory period (2006-10). The S-factor relates to network reliability and reflects the network reliability statistics achieved by UED's management of its network assets.

Within the average tariff movement, the price control formulae allows individual tariffs to increase by a maximum of 5.9%.

The Commission has stated that distribution tariffs should lie between the following upper and lower bounds:

- tariffs for each customer should generate revenue in excess of the avoidable cost to service the customer; and
- tariffs for each customer should generate revenue less than the cost of providing the service on a stand-alone basis to the customer.

To demonstrate that distribution tariffs fall between the avoidable cost "floor" and standalone cost "ceiling", UED must first apply a "cost of supply" methodology to assist in setting tariff rates. Broadly speaking, tariff rates are set to recover the allocated distribution revenue from that customer group. It is noted, however, that UED has regard to all the pricing principles outlined in Section 3, in setting tariff rates.

The critical issue from a cost of supply modelling perspective is the method by which distribution revenue is allocated across the tariff groups. As network businesses are characterised by relatively high fixed costs and significant asset-sharing between customer groups, there is no unambiguously "correct" method for allocating costs. UED's method of allocation is based on each tariff's relative usage of UED's network assets.

In the model, customers are assigned into tariff groups based on voltage and demand characteristics. The consumption and demand characteristics for each tariff group is calculated.

- For asset based costs, the quantity of assets and supporting infrastructure are assigned to the tariff groups according to the combined consumption and demand characteristics of all customers using the asset, eg HV assets are assigned to LV and HV customers, but not to sub-transmission customers. The cost of providing the assigned assets is then calculated for each customer class.
- For operational and maintenance costs, costs are broken down into those that can be attributed to a particular asset class and the remainder are assigned to overheads
 - o Attributable costs use a weighted averaging to apply to the customers in each class
 - o Overheads are averaged over all customers

Combining the overhead, maintenance and infrastructure costs, the overall cost of supply for each customer is calculated.

UED has extended its "cost of supply" methodology to assess the avoidable and standalone costs. The avoidable cost model recognises that only a proportion of total costs are

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avoidable. In particular, the majority of asset-related costs cannot be avoided even if a particular customer group is no longer served. Inevitably, the assessment of which costs are avoidable is a matter of judgement. It should be noted, however, that as the avoidable costs are less than the total costs, UED's cost of supply methodology will always set tariffs at a level that exceeds avoidable costs.

UED's modelling of standalone costs is similarly based on the cost of supply model. The principal differences between the "basic" cost of supply estimates and standalone costs are:

- Standalone networks to serve a particular tariff class will not enjoy the benefit of diversity in peak demand between tariff classes;
- Economies of scale may be lost in supplying a subset of existing customers or tariffs;
- Greater urban congestion may result in the optimised replacement cost exceeding UED's regulated asset value; and
- It is likely that a notional "standalone" competitor to UED may seek a rate of return that exceeds the regulated cost of capital.

These factors indicate that the standalone costs will exceed the cost of supply estimates on which UED bases its tariff design. It is important to recognise that it is difficult to determine the standalone costs with precision – inevitably a judgement must be made. The results of UED's modelling is summarised in Table 5.1 below:

Table 5.1 - Comparison of 2006 Proposed Tariff Rates with Estimated "Cost Window

Tariff Group		Lower Bound "Avoidable Cost" (c/kWh)	2007 Avg DUoS (Exc GST) (c/kWh)	Upper Bound "Standalone Cost" (c/kWh)
UnMet	Small	0.16	2.82	7.01
LVS1R		0.28	4.88	10.38
LVS2R*			3.64	
Ded			1.28	
WET			3.26	
LVkWTOU*			4.49	
LVM1R	Medium	0.35	6.47	12.52
LVM2R5D*			5.24	
LVM2R7D*			6.03	
LVL2R*	Large	0.35	4.40	12.52
LVL1R*			4.10	
LVkVATOU	HV	0.12	2.37	4.20
HVkvATOU		0.06	1.28	2.08
ST22kvATOU*			0.37	

* Tariff closed to new connections and customers not already taking supply under this tariff.

5.1 Description of proposed price changes

In accord with the EDPR 2006-10 Price Determination (October 2005) rebalancing has been undertaken of tariffs at the tariff component level.

This rebalancing takes into consideration and is consistent with the Price Determination and tariff policies, balancing the need to:

- recover maximum allowable revenue to recover the efficient costs of operating the network business,
- reduce risk in recovering revenue,
- give pricing signals to customers to provide an incentive for efficient utilisation of the network,
- be consistent with Pricing Principles and Cost of Supply Model where each tariff is:
 - above the avoidable cost of serving distribution customers,
 - below the cost of providing the service on a stand alone basis, and
 - signal the impact of additional usage on future investment costs.
 - recover NUoS from customers in proportion to the services provided - classified by voltage, demand, and consumption patterns,
 - be consistent with UED's tariff strategies,
 - be consistent with the UED tariff policy framework.

Given the above considerations, it has been decided not to implement the Consumer Price Index Price Path (CPI-X) changes through a general across the board increase in tariff rates as this would be inconsistent with the pricing principles which require signalling of the impact of additional usage on future investment costs. Accordingly rebalancing has been undertaken at the tariff and tariff component level. A revised cost of supply model and other optimisation tools have been used to derive the final prices. Over and above the considerations listed above, the following provides details on how various types of tariffs have been affected by the rebalancing exercise and provide some general guidance by which to interpret the price changes.

The following general comments on inter-tariff and intra-tariff rebalancing have been provided to indicate the flow on effects of the above tariff and price setting principles. While most tariffs are generally consistent with these comments, individual tariffs may vary slightly due to the overall optimisation process pushing one process in one tariff and different processes in another.

Inter-tariff Rebalancing:

- The LVkWTOU tariff has been noted in the Tariff Strategy Report and last years tariff report as being under-recovering. Accordingly, the LVkWTOU tariff has been rebalanced upwards by the maximum amount allowed by the tariff rebalancing equations. The tariff is still under-recovering, with expectations that this tariff will face similar increases until 2010. Customers on this tariff will generally still be better off than on other tariffs, especially if they respond to the embedded price signals.

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- Modern tariffs which have been designed to incentivise efficient use of the network (RCACKWTOU, TOU-HOT, and TOU tariffs) have not increased significantly in the rebalancing, as these tariffs are seen as good examples of the future direction which tariffs will take (especially with the DOI's AIMRO proposals).
- Old tariff designs with no price signalling of desired efficient use of the network (Low Voltage Medium 1 rate and Low Voltage Small 1 rate) have been increased to disincentivise their use, and to make the move to more cost reflective tariffs more attractive.
- Old tariff designs with price signalling of desired efficient use of the network (eg Low Voltage Medium 2, and Low Voltage Small 2 rate) have been decreased to incentivise their use and show additional benefit for customers to utilise these tariffs.
- Off peak tariffs which provide price signalling of desired efficient use of the network (eg dedicated circuit), have been decreased to incentivise their use and show additional benefit for customers who utilise this tariff.

Intra-tariff rebalancing general comments look at the tariff components (such as fixed charges, and peak energy charges) and how they have been affected by the 2007 price proposals:

- Old tariff designs with no price signalling of desired efficient use of the network (e.g. Low Voltage Large 1 rate, Low Voltage Medium 1 rate, and Low Voltage Small 1 rate) have generally had summer energy rates increased and non-summer energy rates decrease, to provide more incentive to reduce peak demand in summer.
- Summer Demand Charges have generally increased slightly when compared to rolling demand charges as this is the most targeted pricing signal for network optimisation.
- Non summer peak energy charges have generally been reduced as this tariff component does not have an impact on network constraints which are generally summer based.
- Off peak energy charges have been used as a balancing item to enable the above intra-tariff rebalancing to take place while remaining within the inter tariff rebalancing constraints.

Table 5.2 – 2007 Estimated Percentage change in DUoS Tariffs

Tariff	Movement
Low voltage small 1 rate	5.8%
Winter economy tariff	1.9%
Reverse cycle airconditioning time of use	1.2%
Low voltage small 2 rate	-1.1%
Dedicated circuit	-8.9%
Low voltage medium 1 rate	5.8%
Low voltage medium 2 rate 5 day	-8.9%
Low voltage medium 2 rate 7 day	-8.9%
Unmetered supplies	-4.0%
Low voltage large 1 rate	-3.8%
Low voltage large 2 rate	-8.9%
Low voltage KW time of use	5.8%
Low voltage KW time of use - HOT	1.2%
Low voltage large KVA time of use	4.1%
Low voltage large KVA time of use - HOT	1.2%
High voltage KVA time of use	-5.7%
High voltage KVA time of use - HOT	1.2%
Subtransmission KVA time of use	1.2%

6 Proposed TUoS tariffs

For practical reasons, the TUoS tariff structure does not reflect the structure of the grid fees paid. The TUoS tariff commenced with a structure compatible with the DUoS tariff. The structure has been maintained in order to allow the NUoS tariff to be determined by simply adding the DUoS and TUoS rates. However, UED has restricted the application of TUoS rates to those components of the NUoS which best reflect the underlying Grid Fees (i.e. Peak Energy, Summer Demand Incentive Charge and Rolling Demand). Therefore, off peak energy and fixed charges do not attract TUoS.

Table 6.1 – 2007 Estimated Percentage change in TUoS Tariffs

Tariff	Movement
Low voltage small 1 rate	-13.2%
Winter economy tariff	-13.2%
Reverse cycle airconditioning time of use	-13.2%
Low voltage small 2 rate	-13.2%
Dedicated circuit	N/A
Low voltage medium 1 rate	-13.2%
Low voltage medium 2 rate 5 day	-13.2%
Low voltage medium 2 rate 7 day	-13.2%
Unmetered supplies	-13.2%
Low voltage large 1 rate	-13.2%
Low voltage large 2 rate	-13.2%
Low voltage KW time of use	-13.2%
Low voltage KW time of use - HOT	-13.2%
Low voltage large KVA time of use	-13.2%
Low voltage large KVA time of use - HOT	-13.2%
High voltage KVA time of use	-13.2%
High voltage KVA time of use - HOT	-13.2%
Subtransmission KVA time of use	-13.2%

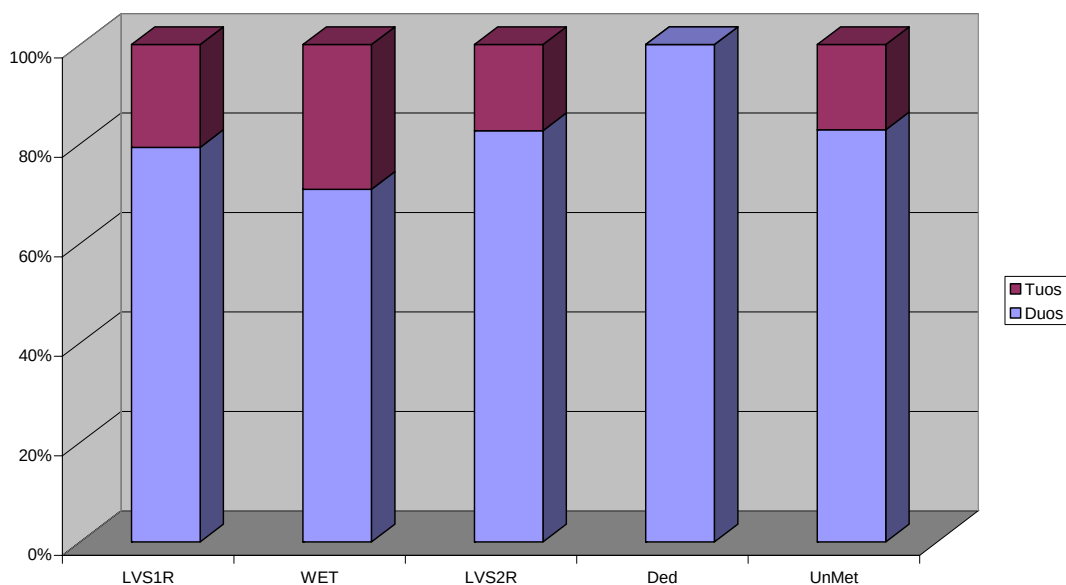
6.1 Average percentage split between TUoS and DUoS

This section presents the average percentage split between TUoS and DUoS that UED's customers will received in 2007. The following graphs are set out in the four main customer categories; small, medium, large and HV.

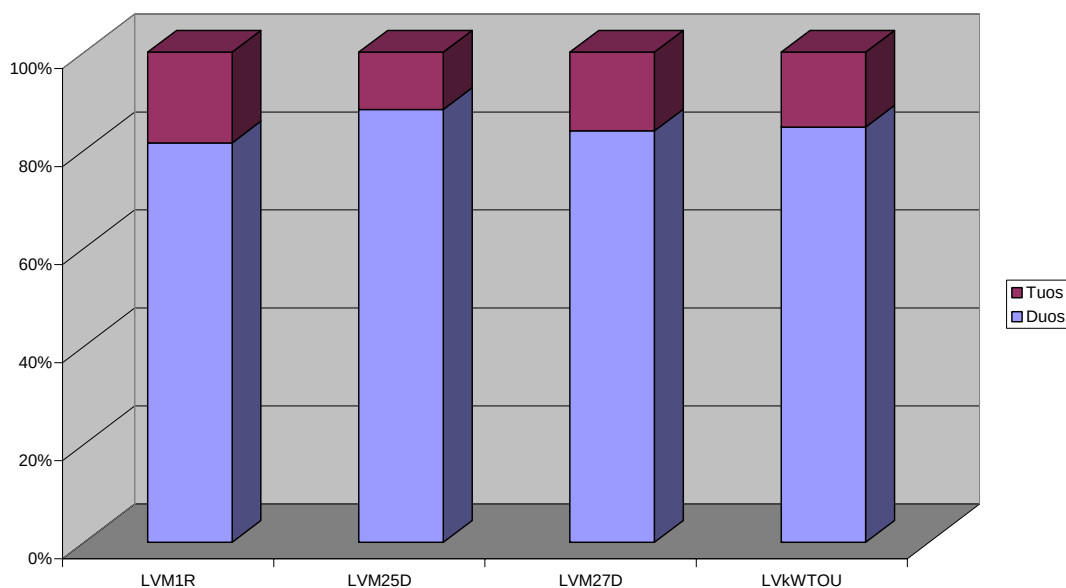
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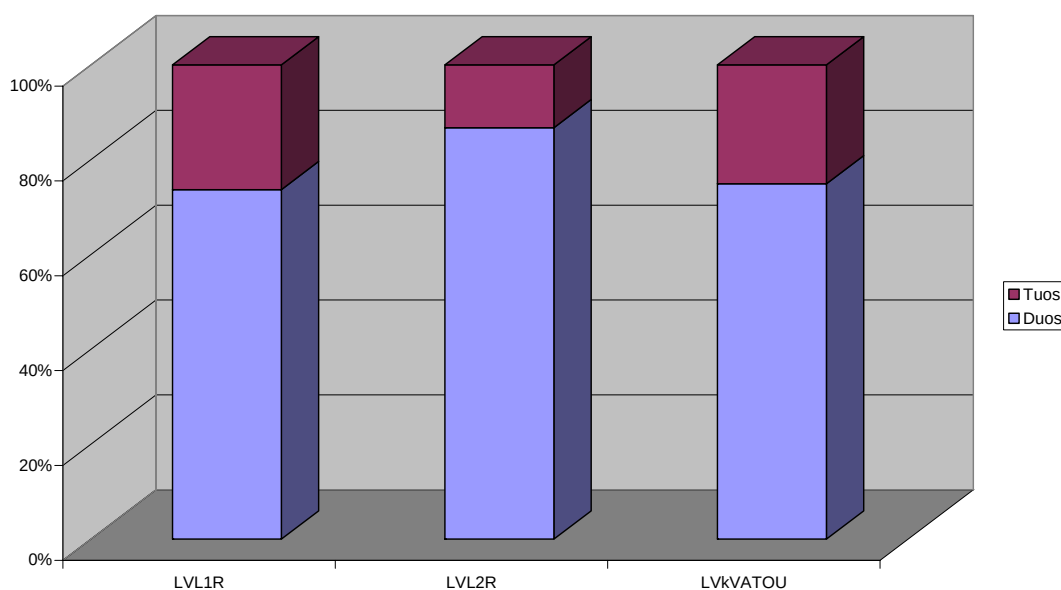
2007 DUOS / TUOS Estimated Revenue percentage of NUOS - Small



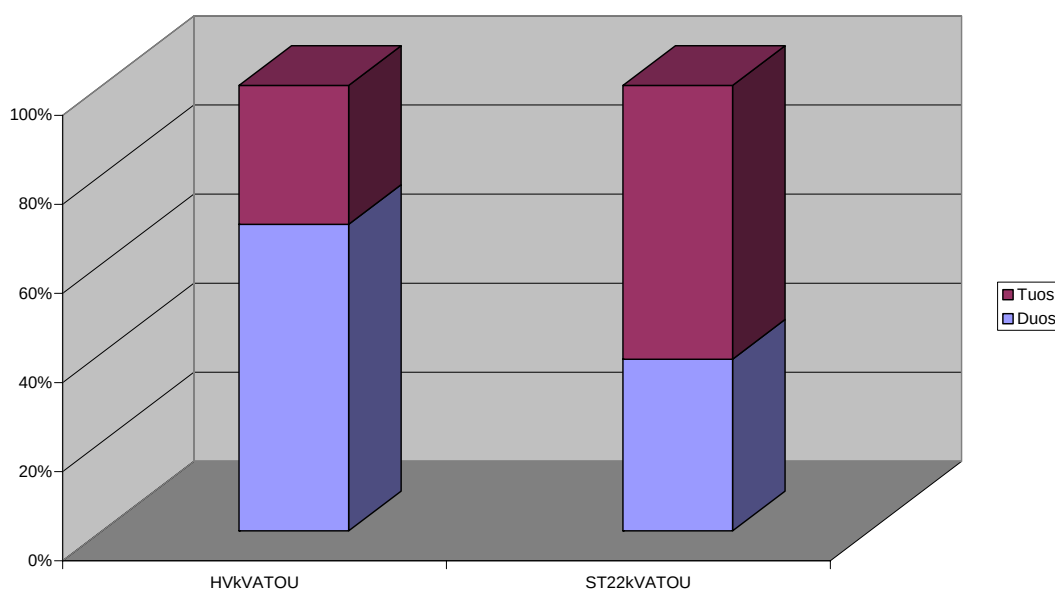
2007 DUOS / TUOS Estimated Revenue percentage of NUOS - Medium



2007 DUOS / TUOS Estimated Revenue percentage of NUOS - Large



2007 DUOS / TUOS Estimated Revenue percentage of NUOS - HV



6.2 Annual Adjustment

Transmission revenue receivable is governed by a Maximum Transmission Revenue equation as detailed in the EDPR. For 2007 this equation yields a TUoS decrease of 13.2%.

In addition, inter tariff rebalancing is allowed, with a Y factor setting the maximum rebalancing over and above a CPI increase over the previous years prices, but in totality remaining below the Maximum Transmission Revenue. For 2007 UED has proposed an overall decrease which applies across the board to all tariffs and all tariff components.

7 Proposed Network Use of System (NUoS) Tariffs

NUoS charges are those seen on user invoices and reflect the underlying structure of Transmission and Distribution charges. Residential and small business customers do not see distribution prices explicitly, as they are usually bundled by retailers with energy and other costs. NUoS rates are the simple addition of DUoS and TUoS rates. As a result of the movements discussed above, the proposed NUoS rates are as follows:

Table 7.1 – Schedule of Network Use of System (NUoS) Tariffs: 1 January 2007 (GST Exclusive)

Description	Tariff Code	Network Tariff Component							Eligibility (consumption/ category)		Minimum Chargeable Rolling Demand
		Standing Charge (c/day)	Summer Peak Energy (c/kWh)	Non Summer Peak Energy Block 1 (c/kWh)	Non Summer Peak Energy Block 2 (c/kWh)	Off Peak Energy (c/kWh)	Rolling Peak Demand c/kVA/day	Summer Demand Incentive Charge c/kWh/day or c/kVA/day	kVA	MWh pa	kVA
Low voltage small 1 rate	LVS1R	4.969	6.961	4.989					Residential Customer		
Low voltage small 2 rate*	LVS2R*	10.492	9.897	7.606		1.306					
Dedicated circuit [#]	Ded [#]					1.282					
Unmetered supplies	UnMet		9.701	7.250		1.351					
Winter Energy Tariff**	WET**	6.616	6.511	4.916	2.630				<20	<70	
Reverse cycle airconditioning time of use	RCACKWTOU		14.968	3.455		1.314		60.642	<20	<70	
Low voltage medium 1 rate	LVM1R	9.688	9.450	6.513					Business Customer		
Low voltage medium 2 rate 5 day*	LVM25D*	13.911	9.282	7.574		1.638					
Low voltage medium 2 rate 7 day*	LVM27D*	14.939	9.374	7.853		1.537					
Low voltage KW time of use	LVkWTOU		7.184	4.454		1.404		34.265	<150	<400	
Low voltage KW time of use - HOT	LVkWTOUH		6.126	4.734		1.221		54.038	<150	<400	
Low voltage large 1 rate*	LVL1R*	9.344	6.301	4.990							
Low voltage large 2 rate*	LVL2R*	13.477	8.549	6.803		1.385					
Low voltage large KVA time of use	LVkVATOU		1.668	1.324		0.863	12.066	16.457	>150	>400	150
Low voltage large KVA time of use - HOT	LVkVATOUH		1.297	1.013		0.750	11.538	27.720	>150	>400	150
High voltage KVA time of use	HVkVATOU		1.076	0.830		0.613	9.180	10.827	>150	>400	1,150
High voltage KVA time of use - HOT	HVkVATOUH		0.891	0.694		0.533	8.759	20.432	>150	>400	1,150
Subtransmission KVA time of use*	ST22kVATOU		0.674	0.522		0.243	3.008	3.797	>150	>400	11,100

*Tariff closed to premises not already taking supply under this tariff and new connections
**Winter Energy Tariff - Step 1 <=1020kwh/Quarter, Step 2 >1020kwh/Quarter
[#]Dedicated Tariff - open to new connections from 1 January 2007 (see eligibility conditions)
Non-summer peak energy rates apply for period 1st April to 31st October

8 Future Direction of UED's Tariffs

UED will continue to review the effectiveness of its existing tariffs. UED has been a leader in tariff innovation and will assess tariff design implications as more accurate half-hourly load shapes for all customers becomes available.

It is expected that while there may be some refinements to existing tariffs, at this stage, UED is not contemplating significant tariff changes (other than possible ToU tariff changes as mentioned in section 4) during the 2006-10 regulatory period. That said, UED will maintain a watching brief on the need for more substantive tariff changes.

- Encouraging an increased uptake of interval-metering based tariffs such as the current 'ToU' series;
- The SDIC concept will remain, but the time window may be updated from time to time in order that it remain aligned with the key network peak demands;
- Cost-of-supply modelling updated to reflect changes in relative contributions from segments;
- Further accentuating the emphasis on peak season (summer), day of week and time of day in order to stimulate Demand Side Management (DSM) response;
- Properly integrate the contribution that distribution-connected generator customers should be making to the costs of providing network services that all users share and derive value from;
- Further closure of tariffs based on obsolete metering;
- Premium service tariffs whereby customers get a choice of above code-level supply reliability and services, for a premium on top of the standard tariff. This must be seen in the overall context of customer service as well as relationship strategies;
- An increased number of time-of-day bands, with greater peak / off peak differential, and energy and distribution tariff components peaking at different times; and
- Demand management (DM) programs aimed at different customer classes may be investigated, for example:
 - interruptible tariffs for business customers whereby customers agree to reduce their power consumption for agreed periods at the request of the distributor (likely to be at a time like a hot summer afternoon when the time when the system is heavily stressed), and in return get some compensation payments from the distributor; and
 - DM aggregation program, which involves working with a range of customers and bidding their combined interruptible load in either the wholesale energy or ancillary services market.
- Investigate positive pricing incentives such as rewards and rebates as motivational mechanisms for DM.

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Appendix 1 - Proposed 2007 DUoS and TUoS Tariff Rates

Table A.1 – Schedule of Distribution Use of System (DUoS) Tariffs:

1 January 2007 (GST Exclusive)

Description	Tariff Code	Network Tariff Component							Eligibility (consumption/ category)		Minimum Chargeable Rolling Demand
		Standing Charge (c/day)	Summer Peak Energy (c/kWh)	Non Summer Peak Energy Block 1 (c/kWh)	Non Summer Peak Energy Block 2 (c/kWh)	Off Peak Energy (c/kWh)	Rolling Peak Demand c/kVA/day	Summer Demand Incentive Charge c/kW/day or c/kVA/day	kVA	MWh pa	kVA
Low voltage small 1 rate	LVS1R	4.969	5.552	3.813					Residential Customer		
Low voltage small 2 rate*	LVS2R*	10.492	7.532	5.711		1.306					
Dedicated circuit [#]	Ded [#]					1.282					
Unmetered supplies	UnMet		7.485	5.477		1.351					
Winter Energy Tariff**	WET**	6.616	4.934	3.655	1.369				<20	<70	
Reverse cycle airconditioning time of use	RCACKWTOU		4.287	1.078		1.314		53.870	<20	<70	
Low voltage medium 1 rate	LVM1R	9.688	7.780	5.178					Business Customer		
Low voltage medium 2 rate 5 day*	LVM25D*	13.911	8.037	6.577		1.638					
Low voltage medium 2 rate 7 day*	LVM27D*	14.939	7.719	6.528		1.537					
Low voltage KW time of use	LVkWTOU		6.030	3.530		1.404		28.881	<150	<400	
Low voltage KW time of use - HOT	LVkWTOUH		5.400	4.153		1.221		47.530	<150	<400	
Low voltage large 1 rate*	LVL1R*	9.344	4.650	3.669							
Low voltage large 2 rate*	LVL2R*	13.477	7.280	5.786		1.385					
Low voltage large KVA time of use	LVkVATOU		0.945	0.744		0.863	9.113	12.421	>150	>400	150
Low voltage large KVA time of use - HOT	LVkVATOUH		0.841	0.647		0.750	9.674	22.821	>150	>400	150
High voltage KVA time of use	HVkvATOU		0.568	0.423		0.613	5.798	7.276	>150	>400	1,150
High voltage KVA time of use - HOT	HVkvATOUH		0.599	0.461		0.533	6.821	16.518	>150	>400	1,150
Subtransmission KVA time of use*	ST22kvATOU		0.331	0.246		0.243	0.578	0.848	>150	>400	11,100
*Tariff closed to premises not already taking supply under this tariff and new connections **Winter Energy Tariff - Step 1 <=1020kwh/Quarter, Step 2 >1020kwh/Quarter [#] Dedicated Tariff - open to new connections from 1 January 2007 (see eligibility conditions) Non-summer peak energy rates apply for period 1st April to 31st October											

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Table A.2 – Schedule of Transmission Use of Systems (TUoS) Tariffs:
1 January 2007 (GST Exclusive)

Description	Tariff Code	Network Tariff Component							Eligibility (consumption/ category)		Minimum Chargeable Rolling Demand
		Standing Charge (c/day)	Summer Peak Energy (c/kWh)	Non Summer Peak Energy Block 1 (c/kWh)	Non Summer Peak Energy Block 2 (c/kWh)	Off Peak Energy (c/kWh)	Rolling Peak Demand c/kVA/day	Summer Demand Incentive Charge c/kWh/day or c/kVA/day	kVA	MWh pa	kVA
Low voltage small 1 rate	LVS1R		1.409	1.176					Residential Customer		
Low voltage small 2 rate*	LVS2R*		2.365	1.895							
Dedicated circuit [#]	Ded [#]										
Unmetered supplies	UnMet		2.216	1.773							
Winter Energy Tariff**	WET**		1.577	1.261	1.261				<20	<70	
Reverse cycle airconditioning time of use	RCACKWTOU		10.681	2.377				6.772	<20	<70	
Low voltage medium 1 rate	LVM1R		1.670	1.335					Business Customer		
Low voltage medium 2 rate 5 day*	LVM25D*		1.245	0.997							
Low voltage medium 2 rate 7 day*	LVM27D*		1.655	1.325							
Low voltage KW time of use	LVkWTOU		1.154	0.924				5.384	<150	<400	
Low voltage KW time of use - HOT	LVkWTOUH		0.726	0.581				6.508	<150	<400	
Low voltage large 1 rate*	LVL1R*		1.651	1.321							
Low voltage large 2 rate*	LVL2R*		1.269	1.017							
Low voltage large KVA time of use	LVkVATOU		0.723	0.580			2.953	4.036	>150	>400	150
Low voltage large KVA time of use - HOT	LVkVATOUH		0.456	0.366			1.864	4.899	>150	>400	150
High voltage KVA time of use	HVkVATOU		0.508	0.407			3.382	3.551	>150	>400	1,150
High voltage KVA time of use - HOT	HVkVATOUH		0.292	0.233			1.938	3.914	>150	>400	1,150
Subtransmission KVA time of use*	ST22kVATOU		0.343	0.276			2.430	2.949	>150	>400	11,100
*Tariff closed to premises not already taking supply under this tariff and new connections **Winter Energy Tariff - Step 1 ≤1020kwh/Quarter, Step 2 >1020kwh/Quarter [#] Dedicated Tariff - not applicable to TUOS Non-summer peak energy rates apply for period 1st April to 31st October											

Appendix 2 - Glossary of Terms

DSM	Demand-side management. Refers to the ability of customers that consume a product to change behaviours that alter the overall balance between supply and demand. Examples may include the installation of energy management systems, or deferring consumption at time of peak demand.
The Commission	Essential Service Commission.
LVS1R etc	Abbreviated Tariff names. • The 1st two letters refer to the voltage level at which the customer is supplied, LV = low voltage 240V (single phase) or 415V (three phase), HV = high voltage 6.6, 11 or 22kV, ST = sub-transmission 22 and 66kV. HOT = tariff variant based on high ambient temperature threshold. • The 2nd section refers to the type of customer, S = small, M = medium, L = large, no letters generally indicates 'generic' interval metered customer. • 3rd section indicates type of rate structure, 1R = single energy rate, 2R = peak/off-peak rate, kW = interval metered in kW, kVA = interval metered in kVA.
kW	Kilowatts, (1,000 Watts) the ISO unit of power measurement.
kWh	An I.S.O. unit used for the measurement of energy. It is the product of kW times time (in hours).
kVA	kilo-Volt-Ampere, the vector product of voltage times current. It is a measure of the proportion of useful (kW) power delivered vs. the current (Amps) drawn by the load, this is known as 'power factor'. The size of assets required is generally a function of the current. Therefore the closer the power factor is to 1.00, the smaller the asset required to supply the load.
Residue settlement	A means by which over-recoveries of costs on the part of the energy and transmission markets are rebated back to customers.
SDIC	Summer Demand Incentive Charge.